

# Tata Motors Ltd

**Investment Rating : Excellent**

## Company Overview

|                |                                                                       |
|----------------|-----------------------------------------------------------------------|
| Website        | <a href="https://www.tatamotors.com/">https://www.tatamotors.com/</a> |
| Sector         | nan                                                                   |
| Market Cap     | 1,504,106.64 Cr                                                       |
| PE Ratio       | 67.07                                                                 |
| PB Ratio       | 0.93                                                                  |
| Dividend Yield | 3.65 %                                                                |

## Financial Quality

|                 |              |
|-----------------|--------------|
| ROE             | 49.4         |
| ROCE            | 20.1         |
| CFO Quality     | High Quality |
| FCF CAGR        | nan%         |
| Capital Pattern | Excellent    |

## Capital Allocation

|               |              |
|---------------|--------------|
| Capital Score | 100.0        |
| Reinvestment  | Balanced     |
| Debt Trend    | Deleveraging |
| Leverage      | High         |

## Business Overview

Tata Motors Group is a leading global automobile manufacturer. Part of the illustrious multi-national conglomerate, the Tata group, it offers a wide and diverse portfolio of cars, sports utility vehicles, trucks, buses and defence vehicles to the world.

It has operations in India, the UK, South Korea, South Africa, China, Brazil, Austria and Slovakia through a strong global network of subsidiaries, associate companies and Joint Ventures (JVs), including Jaguar Land Rover in the UK and Tata Daewoo in South Korea.

## Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.  
Strong free cash flow generation over 5 years signals healthy business fundamentals.  
Consistent dividend yield above 2% backed by positive free cash flow.  
Return on equity improving for 3 consecutive years shows strengthening business quality.  
Growing asset base funded by internal accruals reflects self-sustaining growth.

**Risks**

No significant financial weakness identified, however future performance should continue to be monitored.